UNSHAKEABLE FINANCIAL PARTNERS

A NOTE ON RETIREMENT INCOME

Life Insurance as a Retirement Income Source

How properly designed cash-value life insurance can add a tax-advantaged bucket alongside a 401(k) or IRA, and what it costs.

Why some people add a third tax bucket

A traditional 401(k) or IRA defers taxes until you take money out, and nobody knows what tax rates will look like then. A Roth is taxed up front but has income and contribution limits. Properly designed cash-value life insurance is another option. It doesn't replace those plans, and for most people the employer match and tax-deductible contributions should come first.

Tax-deferred growth	Cash value grows without annual income tax while it stays in the policy.
Loan access	You can borrow against cash value. Policy loans are generally not taxable income while the policy stays in force and isn't a MEC. Loans accrue interest and reduce the death benefit.
Index floor	In an indexed policy, credits are tied to a market index with a cap and a floor (often 0%). The floor keeps index credits from going negative, but fees still apply, so cash value can go down in a zero-credit year.
Death benefit	Pays your beneficiaries, generally free of income tax. Outstanding loans reduce it.
Costs	Insurance charges and fees are highest in the early years. Surrender charges apply for a number of years. You must qualify medically.

The honest number. How much income this can provide depends on your age, health, funding and future credited rates, none of which are guaranteed. Plan on 10 or more years of steady funding before relying on it, and look at the guaranteed values, not only the projections.

The line worth knowing

If a policy is funded faster than the tax code allows, it becomes a modified endowment contract (MEC). After that, loans and withdrawals are taxed gain-first and may carry a 10% penalty before age 59½. Getting the funding pace right is part of the design.

When it's usually not a fit

If you need the money within a few years, can't commit to steady premiums, or haven't yet captured an employer match or built an emergency fund, other options usually come first.

Want to see how this looks for you?

Book a free 15-minute call with Tracy Hoth, a licensed insurance agent: unshakeablefinancial.com · (435) 232-3234. No obligation. If it isn't a fit, we'll tell you.

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